

Before Beijing

What a Re-Scheduled Xi-Trump Summit Means for Trade, Critical Minerals, and Chips

The Geneva truce (May 2025), the Stockholm extension (August 2025), the Busan agreement (October 2025) are three chapters of the same negotiation, with each buying time that neither side knew how to spend. Busan, struck on the APEC sidelines on October 30, is the most ambitious of these efforts. The visit to Beijing that was meant to extend it has been delayed by an Iran war that neither side anticipated but is now scheduled for mid-May. The frameworks are real. So is the gap between what they announce and what they can actually deliver. That gap is where strategic risk actually concentrates.

This report is not investment advice. It is intended for professionals operating at the intersection of trade policy, geopolitics, and supply chain strategy.

Executive Summary

The most consequential bilateral economic relationship in the world is governed by a patchwork of one-year suspensions, ambiguous readouts, and a legal framework the US Supreme Court partially demolished in February 2026. Trump's planned state visit to Beijing — the first by a US president since 2017 — has been delayed from late March to the middle of May, narrowing the window to renegotiate or extend the Busan agreement before its November 2026 expiration. Nearly every concession from Busan is structured as temporary and revocable, the underlying tariff architecture is in legal flux, and analysts overwhelmingly assess that the summit will produce optics-heavy but substance-light outcomes.

- **The Busan framework is one-year, fragile, and structurally incomplete.** Both sides' readouts diverge on scope. No joint communiqué was issued. The White House overstated China's rare earth concessions; MOFCOM's language was considerably more limited. Every concession is revocable.
- **The Supreme Court voided the legal basis for the tariff architecture.** The February 2026 IEEPA ruling forced a pivot to Section 122 tariffs (expiring July 24) while new Section 301 investigations will not produce replacement authorities until late 2026. The November cliff is real.
- **The summit's deliverables will be commercial, not structural.** Agricultural purchases, Boeing orders, energy trade, and possible institutional mechanisms (Board of Trade, Board of Investment) are achievable. Tariff reductions, semiconductor controls, and TikTok are not on the table.
- **China's mineral export control architecture is permanent, not suspended.** Only the most recent escalatory additions were paused. The April 2025 heavy rare earth controls and February 2025 tungsten and tellurium controls were never suspended. China controls 94% of sintered permanent magnet production.

Key Findings

1. From Geneva to Busan: a 90-day truce became a fragile one-year framework

The current US-China trade détente traces to May 12, 2025, when Treasury Secretary Bessent and USTR Greer met Vice Premier He Lifeng in Geneva. Both sides cut reciprocal tariffs by 115 percentage points for an initial 90 days. The truce was extended at Stockholm in late July but nearly collapsed in October when China announced sweeping new export controls on rare earths, lithium battery materials, and graphite.

The October 30 meeting in Busan lasted approximately 100 minutes and produced no formal joint communiqué. The White House claimed China committed to "effectively eliminate" export controls on critical minerals; MOFCOM's language was considerably less expansive. Brookings assessed that the two readouts "broadly overlap but do not match." What Busan delivered concretely was a one-year extension of the tariff suspension through November 10, 2026, cutting the US fentanyl tariff from 20% to 10%, suspending China's retaliatory agricultural tariffs, and committing China to purchasing 25 million metric tons of US soybeans annually from 2026 through 2028.

~32% US effective tariff rate on Chinese goods post-IEEPA ruling	~32% China's retaliatory tariff rate on US goods	100%+ Stacked US tariff rate on Chinese electric vehicles	Nov 10 Busan framework expiry: the 2026 cliff date
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2. The legal ground shifted: the IEEPA ruling reshapes the tariff architecture

On February 20, 2026, the Supreme Court issued a 6-3 ruling in *Learning Resources, Inc. v. Trump* holding that the International Emergency Economic Powers Act does not authorize tariffs. This struck down the legal basis for the tariff structure negotiated at Busan. Trump responded within hours, terminating all IEEPA tariffs and imposing a replacement 10% global tariff under Section 122 of the Trade Act of 1974.

Section 122 tariffs carry a critical constraint: they expire after **150 days** — July 24, 2026 — unless extended by Congress. The administration also launched new Section 301 investigations on March 11–12 targeting China's structural excess capacity, but hearings are not scheduled until April–May, and replacement authorities will not be in place until late 2026 at earliest. Goldman Sachs estimated the IEEPA ruling cut the effective tariff rate on Chinese imports by roughly **5–7 percentage points**, because the Section 122 replacement applies at a lower rate than the China-specific IEEPA surcharges. The enduring layers — Section 301 duties, Section 232 tariffs on steel, aluminum, autos, copper, and semiconductors, and Biden-era review increases — remain untouched.

"The compliance planning landscape now has three critical expiry dates: Section 122 tariffs on July 24, 2026; Busan tariff suspensions on November 10, 2026; and China's export control suspensions between November 10 and November 27, 2026. Any one of these could trigger sharp rate changes with limited notice."

3. The delayed summit: deliverables will be narrow and mostly agricultural

Trump's state visit to Beijing, originally confirmed for March 31–April 2, was postponed in mid-March by approximately "a month or so" due to the Iran war. The meeting has now been conformed for May 14-15. Underlying factors include insufficient US preparation — Bloomberg reported Beijing was "frustrated" by what it perceived as last-minute planning — and new friction from the March Section 301 investigations, which MOFCOM called "extremely unilateral, arbitrary and discriminatory."

Preparatory talks held at OECD headquarters in Paris on March 15–16 focused on agricultural purchases, Boeing aircraft orders, energy exports, rare earth supply implementation, and two proposed institutional mechanisms: a US-China Board of Trade and a US-China Board of Investment. Semiconductor export controls were explicitly not discussed. Both sides described the talks as "candid and constructive." US Treasury Secretary Bessent called the Paris talks "very good."

The realistic summit deliverables, per analyst consensus, center on commercial purchases rather than structural reform. China may commit to additional soybean volumes, Boeing aircraft orders, and expanded purchases of US coal, oil, and natural gas — the latter made more pressing by the Iran war's disruption of China's Middle Eastern oil supply. The Board of Trade mechanism may be formalized. An extension of the Busan tariff truce beyond November 2026 is possible but not guaranteed.

What the summit will almost certainly not deliver: meaningful tariff reductions, any agreement on semiconductor export controls, resolution of TikTok's divestiture, structural reform of Chinese industrial subsidies, or a comprehensive framework for managing strategic competition. CSIS's Scott Kennedy assessed the summit would produce "limited results" with "progress unlikely on thornier issues." The Atlantic Council cautioned that "we should not expect a fundamental reframing of the bilateral relationship."

Critical Minerals: China's Leverage Is Only Partially Suspended

4. The architecture of control is layered — and most layers were not touched

China's critical mineral export controls represent the single most consequential asymmetric leverage in the bilateral relationship. The Busan suspensions are far less comprehensive than the White House claimed. The control architecture operates in overlapping layers, and only the most recent escalatory additions were paused.

01 Base licensing regime (August 2023)

Export controls on gallium (8 items) and germanium (6 items) remain fully in force. These were never suspended.

02 Heavy rare earth controls (April 2025)

Controls on seven heavy rare earth elements — samarium, gadolinium, terbium, dysprosium, lutetium, scandium, yttrium — remain fully in force. Exports to US military end-users are completely blocked even during the Busan suspension. These were never suspended.

03 Tungsten and tellurium controls (February 2025)

Controls on tungsten, tellurium, bismuth, molybdenum, and indium remain in force. Not suspended.

04 October 2025 wave — suspended until November 10, 2026

Six MOFCOM announcements covering additional rare earths, lithium battery components, graphite anode materials, superhard materials, rare earth processing equipment, and rare earth technologies were suspended. This is the core of the Busan mineral concession.

05 December 2024 dual-use ban — suspended until November 27, 2026

The explicit ban on dual-use mineral exports to the US was suspended. This expiry date is 17 days after the Busan tariff suspension, creating a staggered cliff.

The practical impact is significant and measurable. USTR Greer noted in the Paris talks that US companies "occasionally report difficulties obtaining rare earth supplies" — particularly yttrium, which is critical for jet engine turbines. Gallium retail prices have surged 123% since January 2025, reaching \$2,102 per

kilogram. Germanium global exports in 2025 were roughly 60% below 2024 levels. European prices for heavy rare earth elements reached six times Chinese domestic prices after the April 2025 controls took effect.

94% China's share of global sintered permanent magnet production	95%+ China's share of global gallium output	+123% Gallium price increase since January 2025	2027 Earliest alternative supply chains reach operational scale
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5. What China is asking for in exchange

China is using its mineral leverage to demand clarity on technology export control boundaries, Entity List removals, and permanent suspension of the Affiliates Rule. The whitelist system for antimony (11 authorized exporters) and tungsten (15 authorized exporters) represents an evolution toward permanent state-managed commodity trade, with China selecting commercial partners. This is not a return to pre-2023 open trade — it is a new architecture of controlled access.

For downstream manufacturers in automotive, defense, and electronics sectors, the September–November 2026 period, when suspensions expire, represents the single highest-risk window for supply disruption. Companies dependent on Chinese-origin gallium, germanium, rare earth permanent magnets, graphite, or antimony should treat current partial access as a window, not a baseline.

Technology Controls: The Fence Is Built, Neither Side Plans to Lower It

6. Chips are explicitly off the table

Semiconductor export controls have been explicitly excluded from trade negotiations. USTR Greer stated that chip controls will not be discussed at the upcoming summit. The Trump administration's January 2026 rule represented a narrowing adjustment rather than liberalization — shifting from presumption of denial to case-by-case review for specific mid-tier chips below defined performance thresholds, while simultaneously imposing a 25% Section 232 tariff on those same chips. The net effect is that some advanced chips can now reach Chinese customers, but at significant cost premium and with extensive compliance conditions including a 50% cap on aggregate sales to China relative to US shipments.

The Entity List remains expansive, and enforcement is intensifying even as top-line diplomacy softens. Applied Materials paid \$252 million in February 2026 — the second-largest BIS penalty ever — for illegally exporting 56 ion implanters to SMIC. Cadence Design Systems paid \$213 million for Entity List violations. Huawei and SMIC retain their designations with no indication of removal.

China's domestic semiconductor ecosystem continues advancing. SMIC is producing 7nm chips using DUV multi-patterning and plans to double advanced node capacity in 2026 from 45,000 to 60,000 wafer starts per month. Nvidia's Chinese AI chip market share has declined from over 90% to approximately 50% by early 2026. Multiple analyst assessments characterize the dynamic as a "semiconductor sanction paradox": controls may be accelerating China's drive toward self-sufficiency at significantly higher cost, while bifurcating the global semiconductor supply chain into two increasingly separate ecosystems.

Forward-Looking Implications

What analysts actually expect — and why the summit rhetoric should be discounted

The think tank consensus is strikingly aligned. A CSIS survey of 79 former US officials and China experts found that zero respondents believed both sides would fully keep Busan commitments. Only 3% believed both sides would; 51% expected partial compliance; 34% predicted neither side would meet commitments. This skepticism draws directly from Phase 1 precedent: China purchased only 58% of committed goods and services under the January 2020 deal, even before COVID disrupted trade flows.

The Rhodium Group adds a structural constraint: China's economy is more dependent on exports in 2026 than in previous years due to failing domestic demand, with retail sales growth barely exceeding 1% year-on-year. This limits the credibility of any purchase commitments — Beijing cannot fulfil promises to increase US imports without displacing imports from other trading partners. PIIE calculated that without Trump's trade wars since 2017, US exports to China would have been nearly 60% higher, or roughly \$90 billion annually.

Eurasia Group classified both "Tariff Man at Large" and "US-China Conflict" as red herrings rather than top risks for 2026, arguing that Trump's leverage is more constrained post-IEEPA and that both sides prefer managed competition to escalation. The genuine top-10 risk is China's deflation trap and export-driven overcapacity model, which is predicted to "destroy Europe's industrial base" and generate cascading trade friction globally.

The Atlantic Council's Melanie Hart warned that China "maintains the ability to yank back every concession it provided to the United States" while using the scheduled 2026 summit sequence to "box Trump in" and force predictability. The four planned meetings — the rescheduled Beijing visit, a reciprocal Xi state visit to Washington, APEC in Shenzhen (November), and G20 in the US (December) — suggest both sides view 2026 as a sustained diplomatic engagement rather than a single deal-or-collapse moment.

Three planning parameters for downstream manufacturers

01 The November 2026 expiry cluster

Busan tariff suspensions, product exclusions, rare earth control suspensions, and the Affiliates Rule pause all converge in a 45-day window around November 10, 2026. Model scenarios for both extension and lapse. **This is the single most important risk event on the bilateral calendar for 2026.**

02 The post-IEEPA legal transition through mid-2026

Section 122 tariffs expire July 24. New Section 301 investigations will not produce replacement authorities until late 2026 at earliest. Companies face a period of genuine tariff-level uncertainty between the IEEPA ruling and the completion of new legal instruments. Plan for volatility.

03 China's critical mineral architecture is permanent and expanding

The suspensions are tactical pauses, not dismantlement. The April 2025 heavy rare earth controls and February 2025 tungsten and tellurium controls were never suspended and remain binding. Companies dependent on Chinese-origin gallium, germanium, rare earth permanent magnets, graphite, or antimony should treat current partial access as a window, not a baseline. Alternative supply chains will not reach operational scale until late 2027 at the earliest.

Sources & References

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